S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4270592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2022
Question: Biodiversity Commitment
Include Modeled Scores : Yes

Biodiversity Commitment

Question

Does the company have a commitment on biodiversity and is it available publicly?

Rationale

The purpose of this question is to evaluate if your company has a publicly available biodiversity commitment for your company's own operations and supply chain, and if your company manages this risk by setting targets to offset any losses (no net loss) or aims to achieve a net positive impact on biodiversity. Companies are expected to prohibit operations, whether own operations or that of suppliers, in sites containing globally or nationally important biodiversity. If your company is operating in areas in close proximity to critical biodiversity, it is expected to apply mitigation hierarchy (avoid, minimize, restore & offset) and that your company engages with external partners to fulfill your commitment.

Performance Summary	
Question Level Company Performance	25
Question Weight	35
Year-on-Year Change	0
Industry Average Score	6
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Natural Capital: Is another term for the stock of renewable and non-renewable natural resources on earth (e.g., plants, animals, air, water, soils, minerals) that combine to yield a flow of benefits or "services" to people. These flows can be ecosystem services or abiotic services, which provide value to business and to society.

Ecosystem services: Are the benefits to people from ecosystems, such as timber, fiber, pollination, water regulation, climate regulation, recreation, mental health, and others.

Abiotic services: Are benefits to people that do not depend on ecological processes but arise from fundamental geological processes and include the supply of minerals, metals, and oil and gas, as well as geothermal heat, wind, tides, and the annual seasons.

Biodiversity: Is critical to the health and stability of natural capital as it provides resilience to shocks like floods and droughts, and it supports fundamental processes such as the carbon and water cycles as well as soil formation. Therefore, biodiversity is both a part of natural capital and also underpins ecosystem services.

Operational Activities: Includes any business activity which directly impacts natural capital through its own operations, or indirectly by depending on critical commodities in its supply chain. Such activities may include production, extraction, plantation, construction, power generation, transmission, or development activities.

Critical Commodities: Raw materials which have either been extracted (i.e hard commodity) or grown (i.e. soft commodity). These critical commodities either have a significant impact on biodiversity in their production process or depend on functioning biodiversity to achieve an optimal output. Examples of such critical commodities (such as defined by the EU rules for deforestation-free products) may include:

- Beef
- Wood
- Palm oil
- Soya
- Coffee
- Cocoa

Additionally, considering their high potential impact on biodiversity, we consider rubber and cotton as a potential supply chain risk.

Areas: Refers to land or any other natural environment which is used, owned, leased, operated, or permitted by the company

Sites containing globally or nationally important biodiversity: Also referred to in the criteria as 'Critical Biodiversity' and can include:

- Species classified as Critically Endangered, Endangered, or Vulnerable on the IUCN Red List, endemic species
- Internationally recognized areas: World Heritage sites, Ramsar Wetlands, UNESCO MAB
- Nationally important biodiversity can include legally protected areas, habitats, and species.

Companies are expected to have a position or commitment on biodiversity and the impact of their operations, even if they do not currently operate in sites containing globally or nationally important biodiversity.

Mitigation hierarchy: A sequential approach to protect and enhance biodiversity: Avoid, minimize, rehabilitate/restore, offset. Offsetting is a last resort to mitigate the remaining residual impact.(https://www.forest-trends.org/bbop/bbop-key-concepts/mitigation-hierarchy/)

External Partners: This could include conservation NGOs or experts in biodiversity assessment and management. Partners must be related to biodiversity management and not general sustainability or environmental management. If your company works with multiple partners, please provide the main organizations.

Target: It must be related to No Net Loss (NNL) or overall improvement in the biodiversity value of the land under company responsibility. These can include net positive impact (NPI), biodiversity gains, positive change for biodiversity, etc. Commitments related to processes such as related to conducting assessments or implementing rehabilitation plans, implementing biodiversity action plans at sensitive sites, education/training, or philanthropy will not be accepted.

No Net Loss (NNL): It is defined as the point at which project-related impacts on biodiversity are balanced by measures taken to avoid and minimize the project's impacts, to undertake on-site restoration, and finally to offset significant residual impacts, if any, on an appropriate geographic scale (e.g., local, landscape-level, national, regional).

Net Positive Impact (NPI): Is a target for project outcomes in which the impacts on biodiversity (i.e. the variety of ecosystems and living things) caused by the project are outweighed by the actions taken to avoid and reduce such impacts, rehabilitate affected species/landscapes and offset any residual impacts.

Data requirements

This question may be marked "Not applicable", if any of the factors below apply to your company. Please provide an explanation in the comment box at the end of the question:

- Your company only operates in urban environments AND is not dependent on ecosystem and/or abiotic services, either in its own operations or its supply chain
- Your company is only involved in operational activities which are not dependent on ecosystem and/or abiotic services, either in its own operations or supply chain.

Industry-Specific Guidance

Utilities (ELC, GAS, MUW)

- Utilities that have no power generation or transmission business or are only in electricity/gas distribution should mark "Not Applicable"
- MUW industry: Pure water utilities should mark "Not Applicable"

Real Estate (REA)

- "Not Applicable" is acceptable if supporting information confirms that your company only operates in urban areas and/or have nothing to do with construction

References

Natural Capital Coalition: www.naturalcapitalcoalition.org/protocol

Science-based Targets for Nature (SBTN) Initial Guidance for Business: https://sciencebasedtargetsnetwork.org/wp-content/uploads/2020/09/SBTN-initial-guidance-for-business.pdf

Taskforce on Nature-Related Financial Disclosure (TNFD) NATURE IN SCOPE: https://tnfd.global/wp-content/uploads/2021/07/TNFD-Nature-in-Scope-2.pdf

European Supervisory Authorities (ESAs) Joint Committee (JC) draft Regulatory Technical Standards (RTS) on non-financial disclosures: https://www.esma.europa.eu/sites/default/files/library/jc_2021_03_joint_esas_final_report_on_rts_under_sfdr.pdf

UN Convention on Biological Diversity: http://www.cbd.int

Convention on International Trade in Endangered Species of Wild Fauna and Flora: https://www.cites.org/

UNESCO World Heritage Centre: http://whc.unesco.org/

International Union for Conservation of Nature: http://www.iucn.org/

International Council on Mining & Metals (ICMM) guidance: https://www.icmm.com/en-gb/publications/biodiversity/mining-and-biodiversity-good-practice-guidance

International Petroleum Industry Environmental Conservation Association (IPIECA): http://www.ipieca.org/resources/good-practice/biodiversity-and-ecosystem-services-fundamentals/

Cross-Sector Biodiversity Initiative (CSBI) guidance: http://www.csbi.org.uk/

Cement Sustainability Initiative (CSI) guidance: https://www.wbcsd.org/contentwbc/download/3055/38872/1

Standards & frameworks

GRI Disclosure - 304-3 (2016)

UNGC Questionnaire - E1, E1.1, E3

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has a publicly available commitment to maintain, enhance, or conserve biodiversity/ecosystems on the land under its responsibility	Applicable
Commitment not to operate/explore/mine/drill in World Heritage areas and IUCN category I-IV protected areas	-
Biodiversity commitment includes the application of mitigation hierarchy when operating in areas with globally or nationally important biodiversity	-
Biodiversity commitment includes working with external partners to help the company fulfil such commitment	YES
Name(s) of main partners and information of the type of engagement to fulfill biodiversity commitment (2022)	In 2021 we conducted our first pilot project: Adopting Forestry Communities. This project, in alliance with Reforestamos and Bioforestal Soluciones Sustentables, was implemented in six communities throughout the State of Mexico, in the Izta-Popo volcano region. Also we are committed to promote regenerative agricultural systems, biodiversity, and ecosystem health through specific regional practices aimed at minimizing soil disturbance, improve water cycles, reduce our carbon footprint, promote farmer development, and source sustainable raw materials.
Company describes the metrics to measure its biodiversity impact and the extent of its commitment to biodiversity (2022)	YES
Description of target for no net loss or net improvement	The surface area for the project is 8,013 hectares of temperate forest, where approximately 31,380 tCO2e (tons of carbon dioxide equivalent) will be removed from the atmosphere annually and the potential infiltration of ground water in the incidence area for the project will amount to 28,920,302 m3 per year. In addition during the 2021 spring/summer maize cycle in Jalisco, over 7,000 tons were harvested, in a surface area of 900 hectares, with the participation of 41 farmers. For the 2021-2022 fall/winter maize cycle in Sinaloa, there are 2,100 hectares that are expected to produce at least 20,000 tons under regenerative farming practices.
Biodiversity commitment includes a target for net positive impact	-
Biodiversity commitment includes a target for no net loss or net improvement	-
Biodiversity commitment includes other targets than net loss or net positive impact	YES
Company has a target year for full implementation of the biodiversity commitment	YES
Target year for full implementation of biodiversity commitment (Calendar Year)	2050
Company has progressed on the full implementation of biodiversity commitment	-
Percentage of quantitative progress on the implementation of biodiversity commitment	Not answered
Scope of the biodiversity commitment includes own operations	-
Scope of the biodiversity commitment includes tier 1 suppliers	-

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QUESTION LEVEL INPUT	COMPANY ANSWER
Scope of the biodiversity commitment includes non-tier 1 suppliers	-

Questionnaire

Does your company have a publicly available commitment to maintain, enhance, or conserve biodiversity/ecosystems for your company's own operational activities, and is this commitment applicable to your company's supply chain?

1. (●)

   Yes, we have a biodiversity commitment and it includes the following elements:

   1. ☐ Commitment required of own operations and supply chain to avoid operational activities near sites containing globally or nationally important biodiversity
   2. ☐ Application of mitigation hierarchy (avoid, minimize, restore & offset) when operating in areas in close proximity to critical biodiversity
   3. ☑ Work with external partners to fulfill the commitment. Please provide name(s) of main partners and information of the type of engagement:

      In 2021 we conducted o

   Target

   Please provide details of your group-wide and time-bound biodiversity target, as well as the progress made towards this target in the recent financial year:

   1. ☑ Please describe the metrics used to measure your impact on biodiversity, and indicate the extent of your commitment to biodiversity:

      The surface area for the

      1. ☐ Commitment to net positive impact (NPI)
      2. ☐ Commitment to no net loss (NNL)
      3. ☑ Other commitment. Please describe:
   2. ☑ Target year for full implementation of your biodiversity commitment:

      2050
   3. ☐ Quantitative progress (in percent) towards the full implementation of your commitment in the recent financial year:

      Not answered

   Scope of commitment

   Please indicate the scope of your commitment:

   1. ☐ Requirement of own operations
   2. ☐ Requirement of tier-1 suppliers
   3. ☐ Requirement of non tier-1 suppliers
2. ( ) No, we don't have a commitment to biodiversity
3. ( ) Not applicable. Please provide explanations in the comment box below
4. ( ) Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.